

STRATEGIES AND TACTICS

CONTRACTS

COVERAGE AND ASSUMPTIONS

You will have 25 scorable¹ Contracts questions on the exam. The NCBE says that about half of the Contracts questions on the exam will come from categories I and IV in the Coverage Outline below (Formation of Contracts and Performance, Breach, and Discharge), and the other half will come from categories II, III, V and VI.

About one-fourth of the Contracts questions on the MBE will be based on Articles I and II of the Uniform Commercial Code (UCC), i.e., will involve contracts for the sale of goods.

COVERAGE OUTLINE

You should assume that the provisions of Articles 1 and 2 of the UCC have been adopted in the jurisdiction.

The following outline of coverage for the Contracts portion of the MBE was adopted by the Bar Examiners for all MBEs given on or after February 2019. This is the most up-to-date outline of coverage released by the Bar Examiners as we go to press (September 2022), and your substantive study of Contracts should therefore be centered around it.

I. Formation of contracts

- A. Mutual assent (including offer and acceptance, and unilateral, bilateral, and implied-in-fact contracts)
- B. Indefiniteness and absence of terms
- C. Consideration (bargained-for exchange)
- D. Obligations enforceable without a bargained-for exchange (including reliance and restitution)
- E. Modification of contracts

II. Defenses to enforceability

- A. Incapacity to contract
- B. Duress and undue influence
- C. Mistake and misunderstanding
- D. Fraud, misrepresentation, and nondisclosure
- E. Illegality, unconscionability, and public policy
- F. Statute of frauds

III. Contract content and meaning

- A. Parol evidence
- B. Interpretation
- C. Omitted and implied terms

IV. Performance, breach, and discharge

- A. Conditions (express and constructive)
- B. Excuse of conditions
- C. Breach (including material and partial breach, and anticipatory repudiation)
- D. Obligations of good faith and fair dealing

1. That is, you'll get 25 questions *that count* in your score. In addition, you'll get another 3 or 4 questions that won't count, and that are used by the NCBE for validation purposes. You'll have no way to know which ones count or not. Therefore, you'll see, and need to try to answer, 28 or 29 Contracts questions in total.

- E. Express and implied warranties in sale-of-goods contracts
- F. Other performance matters (including cure, identification, notice, and risk of loss)
- G. Impossibility, impracticability, and frustration of purpose
- H. Discharge of duties (including accord and satisfaction, substituted contract, novation, rescission, and release)

V. Remedies

- A. Expectation interest (including direct, incidental, and consequential damages)
- B. Causation, certainty, and foreseeability
- C. Liquidated damages and penalties, and limitation of remedies
- D. Avoidable consequences and mitigation of damages
- E. Rescission and reformation
- F. Specific performance and injunction
- G. Reliance and restitution interests
- H. Remedial rights of breaching parties

VI. Third-party rights

- A. Third-party beneficiaries
- B. Assignment of rights and delegation of duties

WHAT TO EXPECT

Important note: Remember that **approximately 25 percent** of the Contracts questions on each MBE will be based on the UCC, Articles 1 and 2 (in other words, they'll be Sales questions).

Types of questions

You should also be aware that you may be asked many types of contract questions. These include:

1. Plaintiff's or defendant's best argument or theory for recovery
2. How contractual terms should be construed (e.g., as conditions)
3. How to characterize facts (e.g., if certain acts constitute an offer, acceptance, contract)
4. Whether plaintiff will succeed
5. Legal effect of additional facts
6. If court decides for a specified party, the reason why
7. How a goal could be accomplished (e.g., offer accepted or revoked)
8. Which of two or three alternatives are correct, or would influence the outcome of the case

STUDY STRATEGIES

1. Common law vs. UCC.

Remember the **distinctions between the common law and the UCC**. For example, look at the subject of contract **modifications**: At common law, modifications require consideration. Under the UCC, modifications require only good faith. **Irrevocable offers** are also different under common law and the UCC. At common law, an offer can be made irrevocable only with consideration; in general, the offeree must pay for the irrevocability and thus create an option contract. Under the UCC, merchants (not non-merchants) can make irrevocable, or "firm," offers without consideration, so long as the offers are in writing and signed. A firm offer made under this rule cannot be made irrevocable for a period longer than three months.

Another difference to watch for is **delays**. At common law, a reasonable delay is only a minor breach of contract unless the contract provides that time is of the essence—or unless the breaching party knew, when the contract was created, of some extraordinary fact that made the deadline essential. If time is of the essence, any delay is a major breach (the difference being that, with a minor breach, the other party must perform and sue for damages; with a major breach, the other party needn't perform and can still sue for damages). Under the UCC's "perfect tender" rule, every deadline must be met precisely, and any delay is a major breach. Note, however, that the exceptions to the UCC rule make it considerably less harsh in practice (e.g., with notice to

the buyer, a seller can cure defective performance if there's time left for performance; also, even if the time for performance has passed, the seller can still cure if the buyer rejected a non-conforming tender that the seller had reasonable grounds to believe the buyer would accept. UCC § 2-508(2)).

These kinds of distinctions are easy to overlook and are, thus, attractive targets for MBE questions.

2. Unilateral vs. bilateral contracts.

In real life, an offeror rarely desires **only** a unilateral contract; almost every contract offer could be interpreted as seeking a bilateral contract, as well. Remember, however, that you're preparing not only for real life but also for the MBE; you will need to know and apply the distinctions between offers for bilateral and for unilateral contracts:

- ➡ An offer for a bilateral contract seeks a promise in return, not performance. The offer is accepted when the offeree provides a return promise.
- ➡ An offer for a unilateral contract seeks performance in return, not a promise.

As an example, let's talk about a typical reward offer. The offeror isn't interested in obtaining a promise from someone that he'll perform some act (such as, "I promise I'll try to find your dog if you pay me the reward"); the offeror is interested only in the performance (the actual return of the dog, instead of a promise to look). Thus, a reward offeror must be seeking a unilateral contract. (Incidentally, the modern view is that the offeree need only complete performance with knowledge of a reward offer (or a public offer of any kind), in order to earn the reward. Contrast this with the traditional rule—that the public offer must have provoked the offeree's performance.)

Look at another example: Say that an offeror states, "I'll pay you \$50 if you paint my house." Because either a promise to paint or the actual painting of the house would suffice, this offer could be interpreted as seeking either a bilateral or a unilateral contract. When in doubt, a court will construe an offer as a bilateral offer.

Here's a less obvious example adapted from the MBE:

A lawyer emailed her colleague on the morning of October 8, saying that she would "buy your Gucci purse for \$1,200 upon your bringing it to my office on or before noon, October 12 next. This offer is not subject to a counter-offer."

The colleague replied by email in the afternoon of October 8: "I accept your offer and promise to deliver the purse to you as you specified." The colleague's email, although properly addressed, did not appear in the lawyer's inbox until October 10 due to a problem with the lawyer's email server. The lawyer had bought a different Gucci purse from her niece for \$1,050 a few hours before.

The niece saw the colleague at a party on October 11 and mentioned in passing: "I sold my Gucci purse to my aunt yesterday for \$1,050."

On October 12, the colleague took her Gucci purse to the lawyer's office, arriving at 11:55 a.m. The lawyer was in a meeting and did not meet with the colleague until 12:05 p.m. The lawyer then rejected the colleague's purse on the ground that she had already bought her niece's purse.

In a lawsuit by the colleague against the lawyer for breach of contract, what would the court probably decide regarding the colleague's email of October 8?

- A. The email bound both parties to a unilateral contract as soon as the colleague sent it.
- B. Sending of the email by the colleague did not, of itself, prevent a subsequent, effective revocation by the lawyer of her offer.
- C. The email bound both parties to a bilateral contract, but only when received by the lawyer on November 10.
- D. Regardless of whether the lawyer's offer had proposed a unilateral or a bilateral contract, the email was an effective acceptance upon receipt, if not upon dispatch.

Look at the lawyer's original email. She didn't say that she would "buy your Gucci purse for \$1,200 if you **promise** to bring it to my office. . . ." She was looking only for a **performance** in return: the colleague's bringing the purse to the lawyer's office by noon on October 12. Since the lawyer was seeking a return performance, her offer was an offer for a unilateral contract. Therefore, the colleague's **promise** to perform couldn't constitute acceptance—the colleague could accept the offer only by performing. As a result, the colleague's promise was meaningless, causing the unaccepted offer to remain revocable (and it was revoked when the colleague learned from the niece that the lawyer had bought another purse, behavior by the lawyer that was inconsistent with the offer remaining open). (Choice (B) recognizes this, making it the best response.)

3. Issues of consideration.

A. Consideration itself.

Let's get back to basics for a minute. Any enforceable agreement requires consideration or a substitute for consideration (such as promissory estoppel). You also undoubtedly remember the definition of consideration: a bargained-for exchange, plus either detriment to the promisee or benefit to the promisor (and typically both).

The key here is the **bargain**. Both parties must view the return promise (or performance) as the "price" of the contract. If they don't, there's no consideration.

The most important function of the "bargain" element is that **it makes promises to make a gift unenforceable**. The best way to distinguish a gift from a bargain is to look at whether or not the promisor is **getting something in return** for his/her promise or action. If not, then it's a gift, and the promise is unenforceable (unless promissory estoppel applies (see section D, below)).

B. Consideration in the form of surrendering a legal claim.

Okay, here's the situation. Larry and Curly are painters. In a fit, Larry hits Curly on the head with a paintbrush. Curly threatens to sue Larry for assault and battery. Larry tells him, "If you promise not to sue me, I'll give you \$500." Curly agrees. Consideration for the agreement? Curly's surrendering his claim! It was bargained for, and it constitutes a detriment to him (as promisee) and a benefit to Larry (as promisor). That's pretty straightforward.

What's trickier is the situation where the claim is **invalid**. Although it seems strange, surrendering an invalid claim can **still** be consideration, if two requirements are met:

1. A reasonable person could believe the claim is well-founded; and
2. The claim could be pursued in good faith.

Note that the mindset of the one who's surrendering the claim is all-important **and that the other party's belief is irrelevant**. Say Curly's claim against Larry is no good, but Curly reasonably believes it's valid even though Larry believes it isn't. Larry's belief is unimportant, since the two requirements for consideration—reasonableness and good faith—are met. If the situation were **reversed**—that is, it's reasonable to believe the claim is well-founded, Larry believes it's good, but Curly knows it isn't—there's **no consideration**, since Curly, knowing the claim is invalid, couldn't pursue it in good faith.

Here's another example, this time from the MBE:

A man and a woman owned adjoining residences. In 2016, they hired the same contractor to lay sidewalks in front of both of their homes. Each owner was to pay the contractor for that part of the work attributable to his or her property. In early 2017, after the man had paid the bill which the contractor had submitted to him, the man became convinced that the contractor had erred and had charged him for labor and materials which were used for part of the sidewalk in front of the woman's property. In reality, the contractor had made no error, and the man had paid only for labor and materials for the walk in front of his own property.

Still in early 2017, the man asked the woman to reimburse him for the amount which the man believed he had erroneously paid the contractor. After a lengthy discussion, and although she was still convinced that she owed the man nothing, the woman finally said: "I want to avoid trouble, and so if you agree not to sue for reimbursement, I'll employ a handyman to keep our sidewalks free of ice and snow for this November and December plus for November/December of next year."

Although she could have hired the man for two seasons, the woman hired a handyman only for November and December of 2017. During the early fall of 2017, the woman decided to go to Florida for the winter.

During November and December of 2017, the man noticed that no one was shoveling the ice and snow in front of either property. Therefore, the man kept his own walks clean. In early 2018, the man sued the woman for breach of her promise to have the walks cleaned for the prior November and December, seeking the fair value of that work. Will the man prevail?

- A. Yes, because the man reasonably believed that he was settling a valid claim for reimbursement against the woman.
- B. No, because the woman did not believe that what she was settling was a valid claim by the man.
- C. No, because the man's claim was in fact invalid.
- D. No, because the woman's promise to employ the caretaker was aleatory.

If you apply the rule on invalid claims, you can see that it's the man's belief in the validity of his own claim that counts, as long as it's reasonable for him to believe the claim is valid. Both of these requirements for consideration are satisfied here, regardless of what the woman believes. Thus, the correct response is (A).

C. Consideration in a unilateral contract.

Remember that, in a unilateral contract, the offeror seeks return performance, not a return promise. Under such circumstances, it can be difficult to figure out the consideration for the agreement. In fact, the consideration is the offeree's performance. That's all there is to it.

D. Promissory estoppel.

An agreement can be enforceable without consideration as long as there's a substitute for consideration—typically, promissory estoppel. Promissory estoppel is a last resort. It can act as a substitute for consideration in order to avoid injustice. It's triggered by a gratuitous promise that is likely to, and does, induce the promisee's reliance. It's not true consideration, because there's no bargain, but it does result in the promisee's being **enforceable**. The most important thing to remember is that the **lack of an otherwise enforceable contract** is a prerequisite for promissory estoppel; if there's an enforceable contractual promise, there **can't** be promissory estoppel!

E. Quasi-contract.

Quasi-contract, like promissory estoppel, requires that there be **no enforceable contract**. If there *is* one, quasi-contract can't apply.

Courts typically apply quasi-contract rules if a plaintiff has conferred a benefit on the defendant under circumstances where the defendant would be **unjustly enriched** if he were allowed to retain the benefit without paying for it. Thus, once you've established that there's no enforceable contract, you have to determine if there's unjust enrichment. If you find enrichment, but it's not unjust, you can't have a quasi-contractual recovery. Keep in mind, also, that there can't be unjust enrichment if the performing party suffered no detriment.

4. Conditions.

The bar exam frequently tests conditions, because it's easy to confuse the different types. Remember the basic definition of a condition: an event, other than the mere passage of time, that triggers, limits, or extinguishes an absolute duty to perform of one party to a contract.

There are two different ways to categorize conditions. The first is to categorize them according to how the condition came about; there are three types: **express**, **implied**, and **constructive** conditions. The most important thing to remember here is the level of compliance required by each type. If a condition is **express**—that is, the parties explicitly included it in the contract—the parties must **comply strictly** with the terms of that condition. Substantial performance won't suffice, so, if there's substantial, but not complete, performance, the non-breaching party doesn't have to perform at all. On the other hand, with implied and constructive conditions, substantial performance is sufficient. (Note that if performance isn't complete, the other party will still have to pay the contract price, but may deduct his actual damages from it.)

The second way to categorize conditions is by the time of performance. This is the part of the law of conditions that you're likely to find confusing. There are two important categories here: **conditions precedent** and **conditions concurrent**. (Conditions subsequent rarely figure on the MBE.) We'll look at each one separately.

A. Conditions precedent.

A condition precedent is an event or act that must occur first in order to trigger a party's absolute duty of performance. These are easy to spot. Just ask this question: Is there an enforceable duty before the required event happens? If you answer no, that's a condition precedent. For example, let's say I tell you, "If the Yankees make it to the World Series, I'll buy your tickets for \$500." You agree. Ask yourself, do I owe you any duty if the Yankees don't make it to the World Series? No. Thus, the Yankees making it to the World Series is a **condition precedent** to my duty to perform (and to your duty to tender tickets, as well). The Yankees making it to the World Series triggers my duty to pay, as well as your duty to tender tickets.

B. Concurrent conditions.

Concurrent conditions exist where each party's duty to perform is conditioned on the other party's performance. Say, for instance, Laurel offers to sell Hardy his piano for \$200. Hardy agrees. Hardy's tendering the piano is a condition to Laurel's duty to pay; Laurel's tendering the \$200 is a condition to Hardy's duty to hand over the piano. The thing to remember about concurrent conditions is that they have to be capable of simultaneous performance. With the Laurel and Hardy agreement, this requirement is satisfied, since a transfer is physically possible, and the parties didn't provide for any special order of performance.

Let's change the facts: Say Dorothy agrees to whitewash Auntie Em's fence for \$100. Whitewashing the fence and tendering the cash can't be concurrent conditions, because they can't be accomplished at the same time. Whitewashing the fence will always take longer (even with a very small fence!) than handing over cash will take. (In fact, because Dorothy's performance will take time to complete and Em's won't, Dorothy's performance would impliedly have to precede Em's duty to perform—that is, Dorothy's performance would be an implied condition precedent to Em's duty to perform. If Dorothy doesn't perform, Em has no duty to pay.)

Let's change the facts again: Say David agrees to sell his golden gun to Glenn for \$1,000. David is to deliver the gun on February 1, and Glenn is to pay on February 15. No concurrent conditions here, since the parties can't perform simultaneously. But say, instead, that the two make no provision about when Glenn is to pay; they provide only that David is to deliver the gun on February 1. A court would imply concurrent conditions, because time is set for one performance—David's—and the parties **can** perform simultaneously. Finally, assume no time is set for either party to perform (this is analogous to the original Laurel and Hardy example, where performance could be simultaneous)—there would be implied concurrent conditions.

5. Interpretation.

Some MBE questions require you to interpret contract provisions. The general rule is that contract terms are to be interpreted **objectively**, by determining what interpretation a reasonable person, knowing the same things that the parties know, would place on the terms. You want to avoid any extraordinary or unusually strict interpretation of contract language. Here's an example:

A teacher applied for a life insurance policy. In the application, the teacher answered in the negative the question, "Have you ever had any heart disease?" Both the application and the insurance policy that was issued provided: "Applicant warrants the truthfulness of the statements made in the application and they are made conditions to the contract of insurance." Unknown to the teacher, she had had heart disease at a very early age. The teacher died of a sudden (and unforeseeable) heart attack two months after the policy was issued. The insurer refused to pay. The teacher's personal representative sued the insurer on the policy, and the insurer defended on the grounds that the policy was unenforceable because the teacher had made a material false statement in the application. The court will probably decide that

- A. the clause is a condition, and because the condition was not met, the company is not liable.
- B. the clause is a condition, but it should be interpreted to mean, "truthfulness to the best of my knowledge."
- C. the clause is not a condition, and therefore the company will be liable even though the teacher's statement was not true.
- D. the clause is not a condition but is a promise, and therefore the company will have a cause of action against the teacher's estate for any losses it suffered because of the teacher's misstatement.

Here, it wouldn't be reasonable for the insurance company to expect people to disclose diseases they didn't know about, so a court would adopt a **reasonable** interpretation of the clause and require truthfulness only to the best of an applicant's knowledge. That makes (B) the best response.

6. The Statute of Frauds.

If a contract falls within the Statute of Frauds (SOF), it must be **in writing** to be enforceable. Thus, the first thing you have to know is which kinds of contracts are covered by the SOF; then, when you encounter a problem on the MBE in which the enforceability of an oral contract is in question, check it against your list of SOF rules **methodically**. Overcome the temptation to put contracts **within** the SOF even though they don't belong there. If a contract doesn't fall within the SOF, it's enforceable even though it's oral. That's all there is to it.

The SOF coverage varies from state to state, but here are seven basic types of contracts that generally fall within the SOF (of course, an MBE question could offer a Statute of its own, and that statute could vary from the usual SOF):

1. Contracts of **suretyship** (i.e., a contract to answer for another's debt or default—a guarantee of performance);
2. Contracts for the **sale of an interest in land** (including leases of one year or longer);
3. Contracts for the **sale of goods worth \$500 or more** (UCC § 2-201) (except specially manufactured goods, or where there is partial performance);
4. Contracts that **cannot possibly be performed within a year**;
5. Contracts for the sale of securities (UCC § 8-319);
6. Regardless of cost, contracts for the sale of personal property other than goods with a value of more than \$5,000, e.g., royalty rights (UCC § 1-206); and
7. Contracts in consideration of marriage.

Here's a mnemonic to help you remember this list: **MP SIGNS** (Marriage; Personal property more than \$5,000; Suretyship; Interest in land; Goods more than \$500; Not performable within a year; Securities). Of these seven types, only numbers 1 through 4 appear with regularity on the MBE.

You also need to know when the need for a writing will be excused. At common law, there are five circumstances under which a contract within the SOF will be enforceable even without a writing:

1. Full performance by both sides;
2. Seller conveys property to buyer;
3. Buyer pays all or part of the purchase price AND performs some act explainable only by the contract's existence (e.g., constructing buildings on land);
4. Promissory estoppel; and
5. Waiver (e.g., by not affirmatively pleading the Statute of Frauds as a defense).

Under the UCC, courts will excuse the necessity for a writing under several circumstances. Where a transaction in goods is involved, part performance removes the writing requirement (but only to the extent of the actual performance), as does an admission in court by the party denying the contract's existence. In addition, specially manufactured goods don't require a writing once the seller has begun manufacture or made commitments to procure the goods (§ 2-201(3)(a)) and a letter of confirmation can also satisfy the SOF if the transaction is between merchants.

You should also remember the “main purpose” exception to the SOF as regards contracts of suretyship (where one person promises to pay for the debts of another): if the surety's **main purpose** is to further his **own interest**, then the promise does **not** fall within the SOF.

Here's an example of a Statute of Frauds issue from the MBE:

In September 2017, a student, 23 years old and unmarried, was beginning his third year of law school. One night that month, the student called his father and told him that he did not have the money with which to pay his tuition for the second semester or any spending money. The student's father told the student that if he agreed not to marry until he finished law school, he would pay his tuition and \$200 a month spending money until the student graduated. The student, who was engaged to be married at that time, agreed that he would not marry until after he graduated.

The student's father died suddenly on January 26, 2018. The student did not marry and graduated from law school. His father had previously paid the student's tuition for the spring semester, but had paid no spending money to the student. The student's claim against his father's estate having been denied by the executor, the student brought suit against the estate in June 2018, asking for a judgment of \$800 (\$200 spending money for each of the months, February through May). In this action, the student probably will be

- A. successful.
- B. unsuccessful, because his contract with his father was illegal.
- C. unsuccessful, because the father's death terminated the offer.
- D. unsuccessful, because his contract with his father was not in writing and signed by the father.

The specific agreement on which the student is suing—the \$200-per-month spending money—doesn't fit into any of the SOF categories—not even the “made in consideration of marriage” category, because this

promise was to delay marriage. (A contract in consideration of marriage would arise, say, if the student had promised to pay his fiancée's tuition if she agreed to marry him.) Because the student's agreement isn't covered by the SOF, it's enforceable without a writing, so Choice (D) can't be right. That's all there is to the SOF analysis. (Choice (A) is the best response.)

Remember, even if a contract fails for non-compliance with the SOF, a party may be entitled to quasi-contractual recovery for the reasonable value of his part performance, and to restitution of any other benefits he may have conferred.

7. Third-party beneficiaries.

If the promisee of a contractual promise intends that her performance should benefit someone outside the contract, that other person is called the "intended third-party beneficiary." As you know, only intended, not incidental, beneficiaries have enforceable rights. Remember, though, that a beneficiary's rights aren't enforceable until those rights vest. Why is that a big deal? Because, before that, the parties to the contract can modify or even rescind it **without regard to the beneficiary**. Once the rights vest, however, any modification **requires the beneficiary's consent**.

Traditionally, determining when the beneficiary's rights vest depends on whether a beneficiary is a creditor beneficiary or a donee beneficiary; most modern courts, however, agree with the Rest. 2d of Contracts § 311, which ignores the donee/creditor distinction and views the beneficiary's rights as vesting when one of three events occurs:

1. The beneficiary manifests assent to the promise;
2. The beneficiary sues to enforce the promise; or
3. The beneficiary justifiably relies on the promise to his detriment.

Remember, the **third-party beneficiary's rights can't vest until he knows about the contract**. Thus, before a third-party beneficiary finds out about a contract, it can be modified or rescinded, with no regard for the beneficiary's rights.

8. Assignment and delegation.

You need to remember two things about assignment and delegation: first, what can/can't be assigned or delegated; second, the effect of contract prohibitions on assignment and delegation.

A. Assignment—what can be assigned.

Under both the common law and the UCC, the only rights that **can't** be assigned are those that would materially change the other party's duty, risk, or chance of receiving return performance. That includes things like personal services, rights under future contracts, requirements and output contracts, and assignments contrary to public policy (such as government pensions and alimony payments). All other rights can be assigned.

B. Delegation—what can be delegated.

Determining which duties can be delegated is a bit more complicated. The easiest way to do this is with a two-tier analysis:

1. Ask if the duty is "impersonal." If not—it can't be delegated.
An "impersonal" duty is one in which the one receiving performance has no particular interest in limiting performance only to the one from whom he expected performance. Personal duties include services of people like lawyers, doctors, architects, and portrait painters—where the identity of the person performing the duty matters.
2. If you determine that the duty is impersonal, ask if the delegation **materially alters** the nature of the performance or the risks and burdens to the party who would receive the performance. If not—it's delegable.

Keep in mind that an "assignment of the contract" **impliedly** includes a delegation of duties as well, unless circumstances suggest otherwise (e.g., the contract is only assigned as security for a loan, which would indicate that the duties weren't delegated as part of the assignment of the contract). Unless the obligee expressly agrees to release the delegator (a "novation"), the delegator remains liable to the obligee even after delegating his duties under the contract.

C. Contract prohibitions on assignments and delegations.

The rules in (A) and (B) on assignments and delegations apply when the contract contains nothing **preventing** transfer. A contract prohibition throws a wrench into the works, but exactly what the prohibition does is totally dependent on how the prohibition is worded. Look at these examples:

1. “Assignment of rights under this contracted is prohibited,” or similar language.

The assignment is valid. The other party can sue only for damages for breach of covenant.

Note that, under the UCC § 9-406(d), assignment of the right to receive payment generally **cannot** be prohibited (and any prohibition is invalid).

2. “Assignment of rights under this contract is void,” or similar language.

The assignment is voidable at the other party’s option. Note that, under the UCC § 9-406(d), assignment of the right to receive payment generally cannot be prohibited (and any prohibition is invalid).

3. The contract prohibits assignment “of the contract.”

This bars only delegation of duties, not assignment of rights. Although such provisions are upheld, they are narrowly construed. UCC § 2-210(4) and common law.

9. Integration and the parol evidence rule.

These two concepts are flip sides of the same coin: In order to determine if the parol evidence rule bars evidence of contract terms, you have to determine if the contract is “completely integrated.”

Under the parol evidence rule, a writing that is “completely integrated” cannot be contradicted or supplemented by prior written or oral agreements, or by contemporaneous oral agreements. A “completely integrated” agreement is one that the parties intended to be a **final and complete statement** of their agreement.

You need to know two things here: first, what the exceptions to parol evidence are, and second, what happens if an agreement **isn’t** completely integrated.

First—the exceptions: The parol evidence rule doesn’t bar evidence of defects in contract formation, such as **lack of consideration**, **fraud**, and **duress**. Also, when a contract’s **effectiveness** is subject to an oral or earlier written **condition** (e.g., “This construction contract will not be binding on either party until Owner’s architect approves Builder’s plans”), the parol evidence rule doesn’t bar proof of the condition’s existence.

Second—the ramifications of an incomplete, or partial, integration: A partially integrated agreement is one that doesn’t reflect the **complete** agreement of the parties. Even if a court determines that a contract is only partially integrated, though, it’s not open season on evidence of other terms. The written agreement will be considered final as to the terms it states, but the agreement may be **supplemented** by **consistent, additional terms**. Say, for example, that Bluto agrees to loan Wimpy \$500, at 15 percent interest, to buy hamburgers, with a due date of Tuesday on the loan. They reduce the agreement to a writing that mentions their names, the amount, and the term of the loan, but not the interest rate. They couldn’t have intended the writing to reflect their complete agreement, because they agreed on interest, and it’s not in the writing. Thus, the agreement can be only partially integrated (assuming they intended it to be final as to the terms it **does** state). If they end up in court, either one can offer evidence, in the form of oral testimony or other notes, as to their agreement on the interest rate, since that’s a consistent additional term. They could not, however, dispute the amount of the loan, since that was fully integrated in the writing and thus can’t be contradicted.

In real life, there are several different, rather complex, rules for determining if an agreement is “completely integrated.” On the MBE, your job is made easier by the limited number of answer choices. Typically, the examiners will set up the problem so that you **don’t have to decide whether the integration is total**. For instance, if a party wants to prove an oral term that flatly **contradicts** a written term, you don’t have to worry about whether the integration is partial or total, because *in either case* the contradictory oral term can’t be proved.

Here is an example adapted from the MBE:

A corporation, through its president, requested from a bank a short-term loan of \$2 million. On May 1, the president and the bank’s loan officer agreed orally that the bank would make the loan to the corporation

on the following terms: (1) the loan would be repaid in full on or before the following July 1 and (2) the loan would carry interest at an annual rate of 15% (a lawful rate under the applicable usury law). The loan was approved and made on May 5. The only document evidencing the loan was a memorandum, written and supplied by the bank and signed by the president on behalf of the corporation, that read in its entirety:

May 5

In consideration of a loan advanced on this date, [the corporation] hereby promises to pay [the bank] \$2 million on or before July 1 together with accrued interest at the rate of 9%.

[the corporation]

by /s/ [the president]

The corporation repaid the loan on July 1, together with interest at 9%, although it had sufficient funds to pay interest at 15%. On July 10, the bank sued the corporation for extra interest representing the difference between a 9% rate and a 15% rate.

At the trial, can the bank prove the president's oral commitment on behalf of the bank to pay interest at 15%?

- A. Yes, because the oral agreement was supported by an independent consideration.
- B. Yes, because the evidence of the parties' negotiations is relevant to their contractual intent concerning the interest rate on the loan.
- C. No, because such evidence is barred by the preexisting duty rule.
- D. No, because such evidence contradicts the writing and is barred by the parol evidence rule.

Here, the element the bank wants to prove **directly contradicts** a term in the written agreement—the interest rate on the loan. Therefore, it doesn't matter whether the agreement is fully or partially integrated—no evidence will be admitted on the matter. Choice (D) is, therefore, the best answer.

EXAM TACTICS

1. Once you've determined that a question is Contracts-oriented, check immediately to see if a transaction in goods is involved.

If the facts involve a transaction in goods, UCC Article 2 applies. You need to make this distinction early, because, when a question addresses an issue on which the common law and the UCC differ, one of the incorrect answers will inevitably try to mislead you by addressing the rule from the law that **doesn't** apply. Remember, approximately one in every four Contracts questions will involve a transaction in goods! Here's an example adapted from the MBE showing the importance of noticing whether the UCC applies:

On May 1, a landowner texted an investor, "Will sell you any or all of the lots in Grove subdivision at \$15,000 each. Details to follow via email." The subsequent email with details ended with "This offer remains open until June 1." On May 2, after the investor had received the text but before he had received the email, the investor texted the landowner, "Accept your offer with respect to lot 101." Both parties knew that there were 50 lots in the Grove subdivision and that they were numbered 101 through 150.

On May 3, the landowner telephoned the investor, saying that he would "have to have \$20,000 for each of the lots, including lot 101." During the telephone call, the investor agreed to pay him \$20,000 for lot 101. On May 6, the investor texted, "Accept your offer with respect to the rest of the lots." Assuming that contracts were formed covering all 50 lots, and that there is no controlling statute, the investor will most likely be required to pay

- A. only \$15,000 for each of the 50 lots.
- B. only \$15,000 for lot 101, but \$20,000 for the remaining 49 lots.
- C. \$20,000 for each of the 50 lots.
- D. \$20,000 for lot 101, but only \$15,000 for the remaining 49 lots.

If you failed to determine that the common law applies here, because this is a sale of an interest in land, you might mistakenly apply the UCC and select Choice (C), which reflects the UCC rule on modifications—that no consideration is required for modifications as long as they are made in good faith. UCC § 2-209. (Remember, the parties were modifying a pre-existing deal on lot 101.) But UCC Article 2 can't apply here because there's **no transaction in goods**. The correct answer is (B), which reflects the common law "pre-existing" duty rule as to modifications, that modifications require consideration. The deal for Lot 101 was already done, with no consideration offered by the landowner in return for the higher price on it, making the investor's promise to pay the extra \$5,000 for that lot unenforceable.

In fact, you should spot yet another common law/UCC difference here: At common law, an irrevocable offer requires consideration in order to make it a valid “option”; under the UCC, § 2-205, merchants can make irrevocable, or “firm,” offers, without consideration, as long as the offer is embodied in a signed writing. Under these facts, then, the landowner’s letter didn’t create an irrevocable offer. (If you mistakenly applied the UCC as to this element, you’d have picked Choice (A).)

2. Read the facts very carefully.

Although this statement is true of every MBE question, it’s especially true for Contracts and Sales questions.

3. Find that a contract exists, wherever possible.

Traditionally, a contract requires an offer, acceptance, and consideration (or some consideration substitute). If a contract exists, then concepts like promissory estoppel and quasi-contract don’t apply, and you have to analyze the problem under the contract: What are the parties’ duties, what relieves those duties, what triggers them, etc.

4. Pay attention when you’re told a seemingly meaningless detail about someone.

In most MBE questions, you’re not told anything about the parties except their gender, their occupation, and their family relation to each other (if any). If a question *does* tell you something more, *watch out*—those facts are almost always relevant to the status of the person described. Here’s an example adapted from the MBE:

In a telephone call on March 1, a man who used to sell life insurance but was now retired said to a woman, “I will sell my automobile for \$10,000 cash. I will hold this offer open through March 14.” On March 12, the man called the woman and told her that he had sold the automobile to someone else. The man in fact had not sold the automobile to anyone. On March 14, the woman learned that the man still owned the automobile, and on that date called the man and said, “I’m coming over to your place with \$10,000.” The man replied, “Don’t bother, I won’t deliver the automobile to you under any circumstances.” The woman made no further attempt to pay for or take delivery of the automobile.

In an action by the woman against the man for breach of contract, the woman probably will

- A. succeed, because the man had assured her that the offer would remain open through March 14.
- B. succeed, because the man had not in fact sold the automobile to someone else.
- C. not succeed, because the woman had not tendered the \$10,000 to the man on or before March 14.
- D. not succeed, because on March 12 the man had told the woman that he had sold the automobile to someone else.

Here, the first thing you’re told is that the man is “retired.” This is certainly out of the ordinary as descriptions on the MBE go—and, in fact, it’s significant. As you know, where the sale of goods is concerned, only a merchant in those types of goods can make an offer irrevocable without consideration. When the question tells you that the man is retired, it’s really telling you that he’s **not a merchant**. Thus, for the offer to be irrevocable, it would have to be supported by consideration (making it an enforceable “option” contract). Because the offer here wasn’t supported by consideration, it was revocable, and when the man acted inconsistently with the offer—by telling the woman that he had sold the automobile to someone else—he terminated the woman’s ability to accept the offer. Thus, (D) is the best response. If you ignored the added information about the man, you might have believed that the man was a merchant, in which case you would have correctly concluded that the offer was **irrevocable**, and you’d have chosen (incorrect) Choice (A).

5. What to do when you’re told a party wins a case, and that outcome doesn’t seem correct to you.

In some Contracts and Sales questions, you’ll be told a party prevailed and be asked why. If the victory doesn’t make sense to you, ask yourself why—the best response will probably address your doubts. Here’s an example:

The owner of a small residence rented it to a salesman for \$1600 per month. After several years, the salesman and the owner orally agreed that the salesman would purchase the residence for \$192,000, payable at the rate of \$1600 a month for ten years, and also would pay the real estate taxes and the expenses of insuring and maintaining the residence. The owner orally agreed to give the salesman a deed to the property after five years had passed and \$96,000 had been paid on account and to then accept from the salesman

a note secured by a mortgage for the balance. The salesman continued in possession of the residence and performed his obligations as orally agreed. During this time the salesman, without consulting the owner, made improvements for which he paid \$8,000. When the salesman had paid \$96,000, he tendered a proper note and mortgage to the owner and demanded the delivery of the deed as agreed. The owner did not deny the oral agreement but told the salesman that she had changed her mind, and she refused to complete the transaction. The salesman brought an action for specific performance. The owner pleaded the Statute of Frauds as her defense. If the owner wins, it will probably be because

- A. nothing the salesman could have done would have overcome the original absence of a written agreement.
- B. the actions and payments of the salesman are as consistent with his being a tenant as with an oral contract.
- C. the salesman did not secure the owner's approval for the improvements that he made.
- D. the owner has not received any unconscionable benefit, and, therefore, the salesman is not entitled to equitable relief.

Here, the question's instruction to you to assume that the owner won probably threw you for a loop. If it did, it's probably because you relied on the SOF rule that partial performance—the buyer, apart from paying part of the purchase price, does something unequivocally referable to the existence of an oral agreement—removes a land sale contract from the SOF. The salesman's \$8,000 in improvements did just that. Your first reaction gives you a clue to the right response: Since the owner won, it must be that something in the possible choices overcame the fact that the salesman spent \$8,000 on improvements to the property. There's only one answer choice that addresses this problem: Choice (B), which is the correct response.

6. Distinguish *third-party beneficiaries* and *assignees*.

This is an easy distinction. Frequently, in questions dealing with third-party beneficiaries, one of the responses will mention a rule relating to assignees (and vice versa). Remember: A beneficiary is created in the contract; an assignee gains his rights only later, when a party transfers his contract rights to the assignee. Thus, a person who doesn't have rights created and arising in the contract **can't** be a beneficiary. Here's an example. Cleopatra contracts to sell her asp to Mark Antony for \$100 and provides, in their contract, that Antony should pay the contract price to Julius Caesar. Because Caesar's rights are created in the contract, he's a third-party beneficiary. Say, instead, that the contract doesn't mention paying Caesar. After the contract is created, Cleopatra transfers her right to payment to Caesar. Did he have rights when the contract was created? No. His rights were created later. Thus, he must be an assignee.